

Article | 23 July 2026

RATES SPARK

Rates Spark: ECB ready to hike, just not today

The ECB should keep the policy rate at 2.25%, but we do see a September hike as likely, especially as oil prices are moving higher again. One could argue for a front-loaded hike today, but over previous years the ECB has always fully telegraphed any policy moves in advance. And with no hikes priced in by markets, deviating from this strategy seems unlikely



We expect the European Central Bank to keep the deposit rate at 2.25% today but see a September rate hike as likely

Well-anchored inflation expectations give ECB time to act

Despite another stretch higher in oil prices, markets are sticking to the view that the [European Central Bank will hold](#) the deposit rate at 2.25% at this meeting, in line with our own thinking. September is more likely to see a hike, and indeed markets are pricing in 23bp then. One could argue that front-loading another hike now makes sense. Over the past few years, however, the ECB has not acted without fully telegraphing a move in the weeks before the meeting.

With longer-term inflation expectations still well-anchored, the ECB can hold rates steady for

now. The 10Y inflation swap rose on the back of higher oil prices, but at 2.2% is still close to target. Over the past months, the central bank has communicated a hawkish stance and avoided the word “transitory” at all costs. As a result, markets are now positioned for almost three hikes over the next year. While we think this looks stretched, taking a dovish position would quickly be wiped out by more oil volatility. As such, we don’t suggest pushing against current pricing.

We cannot fully discount the tail risk of an early 25bp hike. The question is whether markets would interpret this as a hawkish policy turn or whether the move would be perceived as front-loading September’s move. We think the latter. Not enough inflation data is available to argue in favour of more near-term tightening. And given markets are already positioned very hawkish, we don’t see much room to stretch that further. As such, the upside risk to rates seems limited.

Thursday’s events and market view

The ECB’s monetary policy meeting will be the main event. In terms of data, we will get eurozone consumer confidence numbers for July, but consensus sees no improvement from still low levels. The most notable data from the US are jobless claims.

In terms of supply, the UK will hold a tender of a 37Y gilt for £0.5bn. The US will auction a new 10Y TIPS totalling \$21bn.

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